

Key Facts



Provisional attachments: ED has attached movable and immovable assets worth over ₹6,261.37 crore (including ₹588.57 crore in July 2025).



Large-scale bank loan fraud estimate: The alleged fraud involves up to ₹27,000 crore (some reports suggest ~ ₹34,000 crore) of loans being diverted.



Use of shell companies and dummy directors: Over 500 shell/operative companies identified, many with “dummy” directors, used to shift funds.



Diversion of funds for acquisition/real estate: Promoter group allegedly inflated fixed assets, transferred funds, and invested in high-value real estate/plots/farmhouses through hidden entities.



Manipulation of financial statements: Financials were allegedly manipulated to show bogus assets/investments to secure loans.



Haircut for lenders: The banks suffered haircuts of ~80% or more in resolution of group companies.



Money-laundering and PMLA violations: ED's PMLA attachments, searches at over 40 locations, arrests of promoters (Arvind Dham) and related persons.

creation of shell companies, siphoning of funds, and collusion with banks and officers. The PIL referred to forensic audit reports (eg by Ernst & Young) which indicated that the actual siphoned amount could be above ₹20,000 crore. The court, in February 2024, directed the enforcement directorate (ED) to investigate and observed prima-facie that large-scale money laundering was possible given the web of 500+ companies, dummy directors, diversion of loan amounts into land/real estate, etc.

While Arvind Dham, the promoter of Amtek, is the central figure, evidence suggests several others were involved: bankers, auditors, resolution professionals, shell company directors, and stock-market operators. For instance, the ED's supplementary complaint (August 2025) names promoters, key managerial personnel, auditors, bankers, resolution professionals, and market operators. Dummy directors, front companies and numerous entities point to a broader network rather than solo action. The scheme appears to have been organised, layered and supported by a broader ecosystem of actors, some of whom are under investigation.

Where the Case Stands

Arvind Dham is in custody. The ED arrested him and has opposed his bail in the Delhi High Court for a ₹2,700 crore bank-fraud case. The Supreme Court in February 2024 directed the ED to investigate the matter comprehensively. Prosecution is ongoing under PMLA, large attachments executed, and investigations continue across multiple group entities. Insolvency and resolution processes remain unresolved: lenders still face large losses, and the fresh bidding process (after the SC directions) is at various stages. **BT**

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erty House plan and the protracted litigation eroded value for creditors, reducing potential recoveries to a fraction of their claims.

Today, Amtek's insolvency journey stands as one of the most complex and cautionary cases under IBC, underscoring how ambitious global bidders, procedural delays, and weak enforcement mechanisms can derail even high-profile bankruptcies.

Banks continued to extend credit, roll over obligations or restructure loans of entities like Amtek under lenient terms when,

in fact, the business fundamentals were weak. Forbearance allowed the debt to build up without immediate recognition of distress. The “Dirty Dozen” firms were symptomatic of how forbearance allowed unviable firms to continue borrowing, masking the true extent of bad loans. Thus, the misuse: the company dipped into easier borrowings, banks delayed bad-loan recognition, and the problem grew rather than being tackled early.

A public interest litigation (PIL) was filed in the Supreme Court alleging large diversion of loans,